> 1936, would have shown a shrinkage of 39% as compared with the cost of his original investment. In plain English, the average investor paid $294,911.90 for things worth $180,072.06 on December 31, 1936. That's a big disappearance of dollar value in any language.

In the innocent days before the crash, people had blithely spoken of "permanent investments." "For our part," wrote this partner of the eminent Wall Street private bank, "we are convinced that the only permanent investment is one which has become a total and irretrievable loss."[13]

Lovett turned out to be a prophet. At the nadir of the 1937–1938 bear market, one in five NYSE-listed industrial companies was valued in the market for less than its net current assets. Subtract from cash and quick assets all liabilities and the remainder was greater than the company's market value—that is, business value was negative. The Great Atlantic & Pacific Tea Company (A&P), the Walmart of its day, was one of these corporate zombies. At the 1938 lows, the market value of the common and preferred shares of A&P, at $126 million, was less than the net value of its cash, inventories, and receivables, conservatively valued at $134 million. In the words of Graham and Dodd, the still-profitable company was selling for "scrap." (Chap. 50)

A DIFFERENT ERA

Little about today's Wall Street would seem familiar to Benjamin Graham, from the old neighborhood itself (now largely residential) to the immensity of the dollars invested (the Depository Trust & Clearing Company processed securities trades in the sum of $2.37 quadrillion in 2021)[14] to the prevalence of index, or passive, investing (as of March 31, 2022, index mutual funds claimed $8.53 trillion in

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[13] Robert A. Lovett, "Gilt-Edged Insecurity," *Saturday Evening Post,* April 3, 1937.

[14] DTCC 2021 annual report, p. 56.